

COMMITTEE ON REGULATORY AFFAIRS AND GOVERNMENT EFFICIENCY
SENATE AMENDMENTS TO S.B. 1671
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 5-101.01, Arizona Revised Statutes, is amended
3 to read:

4 5-101.01. Division of racing; director; qualifications; term;
5 deputy director; conflict of interest

6 A. There is established a division of racing within the department
7 of gaming.

8 B. The director shall administer the division. To be eligible for
9 appointment as director, a person must have a minimum of five years of
10 experience in business and administration and shall not have a financial
11 interest in a racetrack or in the racing industry in this state during
12 that person's appointment.

13 C. The director may establish the position of deputy director of
14 the division.

15 D. The position of deputy director, if applicable, is exempt from
16 title 41, chapter 4, articles 5 and 6. The deputy director, if
17 applicable, is eligible to receive compensation pursuant to section
18 38-611.

19 E. ~~The provisions of~~ Title 38, chapter 3, article 8, relating to
20 conflict of interest, ~~apply~~ **APPLIES** to the director and all other
21 employees of the department.

22 F. Neither the director, any employee of the department nor any
23 member of the immediate family of the director or other employee of the
24 department may:

25 1. Have any pecuniary interest in a racetrack in this state or in
26 any stable, compound or farm licensed under this chapter.

27 2. Wager money at a racetrack enclosure or additional wagering
28 facility in this state or wager money on the results of any race held at a
29 racetrack enclosure in this state.

1 3. Hold more than a five percent interest in any entity doing
2 business with a racetrack in this state.

3 4. Have any interest, whether direct or indirect, in a license
4 issued pursuant to this chapter or in a licensee, facility or entity that
5 is involved in any way with pari-mutuel wagering. For the purposes of
6 this paragraph, "interest" includes employment.

7 G. THE DIRECTOR, THE DEPUTY DIRECTOR, IF APPLICABLE, AND ALL
8 EMPLOYEES OF THE DEPARTMENT SHALL COMPLETE A CONFLICT-OF-INTEREST
9 DISCLOSURE FORM ON INITIAL APPOINTMENT AS DIRECTOR AND DEPUTY DIRECTOR, IF
10 APPLICABLE, AND ON HIRING AS A NEW EMPLOYEE. THE DIRECTOR, THE DEPUTY
11 DIRECTOR, IF APPLICABLE, AND ALL DEPARTMENT EMPLOYEES SHALL SUBMIT AN
12 UPDATED CONFLICT-OF-INTEREST DISCLOSURE FORM ANNUALLY IF ANY
13 CONFLICT-OF-INTEREST INFORMATION HAS CHANGED.

14 ~~G.~~ H. Failure to comply with subsection F OR G of this section is
15 grounds for dismissal.

16 ~~H.~~ I. For the purposes of subsection F of this section, "immediate
17 family" means a spouse or children who regularly reside in the household
18 of the director or other employee of the department.

19 Sec. 2. Section 5-223, Arizona Revised Statutes, is amended to
20 read:

21 5-223. Arizona state boxing and mixed martial arts
22 commission; appointment; terms; compensation;
23 conflict of interest; emergency ringside meetings

24 A. The ~~Arizona state boxing and mixed martial arts~~ commission
25 consists of three members appointed by the governor pursuant to section
26 38-211. The term of office of commissioners is three years. The term of
27 one member shall expire on the third Monday in January each year.

28 B. Two members of the commission constitute a quorum for conducting
29 business. A concurrence of two members is necessary to render a decision
30 by the commission. Emergency ringside meetings held immediately ~~prior~~
31 ~~BEFORE~~ and ~~subsequent to~~ AFTER a scheduled contest for the purpose of
32 determining whether there has been a violation of the rules and
33 regulations of the commission or this chapter are exempt from ~~the~~
34 ~~provisions of~~ title 38, chapter 3, article 3.1.

35 C. The commissioners shall receive compensation as determined
36 pursuant to section 38-611 for each day they act in their official
37 capacity, not to exceed one hundred days each year.

38 D. A commissioner shall not during the commissioner's term of
39 office promote, sponsor or have any financial interest in a combatant, a
40 boxing contest or in the premises leased for a boxing contest.

41 E. THE EXECUTIVE DIRECTOR, ALL COMMISSIONERS AND ALL DEPARTMENT AND
42 COMMISSION EMPLOYEES SHALL COMPLETE A CONFLICT-OF-INTEREST DISCLOSURE FORM
43 ON INITIAL APPOINTMENT AS A COMMISSIONER AND ON HIRING AS A NEW EMPLOYEE.
44 THE EXECUTIVE DIRECTOR, ALL COMMISSIONERS AND ALL EMPLOYEES SHALL SUBMIT
45 AN UPDATED CONFLICT-OF-INTEREST DISCLOSURE FORM ANNUALLY IF ANY
46 CONFLICT-OF-INTEREST INFORMATION HAS CHANGED.

1 Sec. 3. Section 5-604, Arizona Revised Statutes, is amended to
2 read:

3 5-604. Department of gaming; director; qualifications; term;
4 conflict of interest; grounds for dismissal; report

5 A. The department of gaming is established.

6 B. The governor shall appoint a director of the department of
7 gaming pursuant to section 38-211. The director serves at the pleasure of
8 the governor. To be eligible for appointment as director, a person shall
9 not have a financial interest in a gambling operation or in the gambling
10 industry in this state during the term of appointment. The governor may
11 appoint an acting director if there is a vacancy in the office.

12 C. The director and all other employees of the department are
13 subject to title 41, chapter 4, article 4. The director is eligible to
14 receive compensation pursuant to section 38-611.

15 D. The employment or financial interest of any relative to the
16 first degree of consanguinity or affinity to the director or any other
17 employee of the department in the gambling industry in this state is
18 grounds for the dismissal of the director or employee of the department.

19 E. THE DIRECTOR AND ALL EMPLOYEES OF THE DEPARTMENT SHALL COMPLETE
20 A CONFLICT-OF-INTEREST DISCLOSURE FORM ON INITIAL APPOINTMENT AS DIRECTOR
21 AND ON HIRING AS A NEW EMPLOYEE. THE DIRECTOR AND ALL DEPARTMENT
22 EMPLOYEES SHALL SUBMIT AN UPDATED CONFLICT-OF-INTEREST DISCLOSURE FORM
23 ANNUALLY IF ANY CONFLICT-OF-INTEREST INFORMATION HAS CHANGED.

24 F. ON OR BEFORE DECEMBER 17 OF EACH YEAR, THE DEPARTMENT SHALL
25 SUBMIT ALL DEPARTMENT AUDITS THAT ARE CONDUCTED BY A THIRD-PARTY AUDITOR
26 TO THE PRESIDENT OF THE SENATE, THE SPEAKER OF THE HOUSE OF
27 REPRESENTATIVES AND THE GOVERNOR.

28 Sec. 4. Title 5, chapter 6, article 1, Arizona Revised Statutes, is
29 amended by adding section 5-606, to read:

30 5-606. Complaints; tracking system; report

31 A. THE DEPARTMENT SHALL CREATE AND IMPLEMENT A COMPLAINT SUBMISSION
32 PROCESS AND COMPLAINT TRACKING SYSTEM THAT ALLOW THE DEPARTMENT TO TRACK
33 AND MONITOR COMPLAINTS RELATING TO THIS CHAPTER AND CHAPTERS 2, 10 AND 11
34 OF THIS TITLE. THE DEPARTMENT SHALL MAKE THE COMPLAINT SUBMISSION PROCESS
35 AVAILABLE ON THE DEPARTMENT WEBSITE.

36 B. THE DEPARTMENT SHALL SUBMIT AN ANNUAL REPORT TO THE PRESIDENT OF
37 THE SENATE, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND THE GOVERNOR
38 THAT INCLUDES ALL OF THE FOLLOWING INFORMATION:

39 1. THE NUMBER OF COMPLAINTS THAT WERE RECEIVED THROUGH THE
40 COMPLAINT SUBMISSION PROCESS.

41 2. THE NUMBER OF COMPLAINTS THAT WERE RECEIVED THROUGH THE
42 COMPLAINT SUBMISSION PROCESS AND THAT WERE DISMISSED.

43 3. THE NUMBER OF COMPLAINTS THAT WERE RECEIVED THROUGH THE
44 COMPLAINT SUBMISSION PROCESS AND THAT WERE RESOLVED.

45 Sec. 5. Repeal

46 Sections 41-3026.04, 41-3026.13 and 41-3026.22, Arizona Revised
47 Statutes, are repealed.

1 Sec. 6. Title 41, chapter 27, article 2, Arizona Revised Statutes,
2 is amended by adding sections ~~[41-3028.11,]~~ 41-3032.11~~[.]~~ ~~[and]~~
3 41-3032.15~~[.]~~ ~~[AND 41-3032.20]~~ to read:
4 ~~[41-3028.11 Department of gaming; termination July 1, 2028~~
5 ~~A. THE DEPARTMENT OF GAMING TERMINATES ON JULY 1, 2028.~~
6 ~~B. SECTIONS 5-601, 5-602, 5-602.01, 5-603 AND 5-604, TITLE 5,~~
7 ~~CHAPTERS 10 AND 11 AND THIS SECTION ARE REPEALED ON JANUARY 1, 2029.]~~
8 41-3032.11. Arizona racing commission; termination July 1, 2032
9 A. THE ARIZONA RACING COMMISSION TERMINATES ON JULY 1, 2032.
10 B. TITLE 5, CHAPTER 1 AND THIS SECTION ARE REPEALED ON JANUARY 1,
11 2033.
12 41-3032.15. Arizona state boxing and mixed martial arts
13 commission; termination July 1, 2032
14 A. THE ARIZONA STATE BOXING AND MIXED MARTIAL ARTS COMMISSION
15 TERMINATES ON JULY 1, 2032.
16 B. TITLE 5, CHAPTER 2 AND THIS SECTION ARE REPEALED ON JANUARY 1,
17 2033.
18 41-3032.20. Department of gaming; termination July 1, 2032
19 [A. THE DEPARTMENT OF GAMING TERMINATES ON JULY 1, 2032.
20 B. SECTIONS 5-601, 5-602, 5-602.01, 5-603 AND 5-604, TITLE 5,
21 CHAPTERS 10 AND 11 AND THIS SECTION ARE REPEALED ON JANUARY 1, 2033.]
22 Sec. 7. Purpose
23 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
24 the legislature continues the department of gaming to:
25 1. Carry out the responsibilities of the state gaming agency in
26 compacts executed by the state Indian tribes and this state pursuant to
27 the Indian gaming regulatory act of 1988 (25 United States Code sections
28 2701 through 2721 and 18 United States Code sections 1166 through 1168).
29 2. Ensure the integrity of fantasy sports contests.
30 3. Enforce and supervise compliance with the laws and rules
31 relating to regulating and controlling event wagering in this state.
32 4. Regulate racing and boxing and mixed martial arts in this state
33 in conjunction with their respective commissions.
34 Sec. 8. Purpose
35 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
36 the legislature continues the Arizona racing commission to regulate the
37 racing industry in this state for the protection of the public peace,
38 safety and welfare.
39 Sec. 9. Purpose
40 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
41 the legislature continues the Arizona state boxing and mixed martial arts
42 commission to provide the best protection for all interested parties in
43 the sports of boxing, kickboxing and mixed martial arts.

1 Sec. 10. Department of gaming; review; independent audits;
2 event wagering; fees
3 The department of gaming shall review all independent [department]
4 audits that have been conducted as of 2021 to determine if event wagering
5 operators have paid the correct required privilege fee amounts as
6 prescribed by section 5-1318, Arizona Revised Statutes. The department
7 shall address and correct any overpayments or underpayments of privilege
8 fee payments as required by rule.
9 Sec. 11. Retroactivity
10 Sections 5 and 6 of this act are effective retroactively to from and
11 after July 1, 2026.

12 Enroll and engross to conform
13 Amend title to conform

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